

Table 8.4 High and Low Momentum

	High Mom VW	Low Mom VW	US Bonds	SP500
CAGR	16.92%	−1.51%	5.45%	9.95%
Standard Deviation	22.58%	33.94%	6.92%	19.09%
Downside Deviation	16.70%	21.97%	4.43%	14.22%
Sharpe Ratio	0.66	0.01	0.31	0.41
Sortino Ratio (MAR = 5%)	0.80	−0.05	0.12	0.45
Worst Drawdown	−76.29%	−96.95%	−20.97%	−84.59%
Worst Month Return	−28.52%	−42.26%	−8.41%	−28.73%
Best Month Return	28.88%	93.98%	15.23%	41.65%
Profitable Months	63.16%	51.42%	63.35%	61.74%
Cumulative Draw Downs	−32404.12%	−49253.34%	− 8237.57%	− 28514.52%

Wow! That has always been our first reaction to these results. Again, one does not need any financial statement data to construct these portfolios, just past prices. The spread between high and low momentum stocks from 1927 to 2014 was *18.43 percent*. This is close to five times the spread between value and growth firms (3.72% over the same time period) as shown above. Additionally, the top momentum stocks outperformed the S&P 500 by 6.97 percent.

Christopher Geczy and Mikhail Samonov examine a momentum strategy over an even longer period in an aptly named paper, “212 Years of Price Momentum (The World’s Longest Backtest: 1801–2012),” and find that momentum has worked for over 200 years.^{[22](#)}

Although momentum investment strategies are well known in academic literature, these strategies are not commonly used in actively managed funds. Most mutual fund complexes split the universe into value and growth stocks. To highlight this framework in the marketplace, we post a screenshot from Vanguard’s website, which splits the universe into nine buckets. The two axes are market cap (vertical axis, from small to large) and style (horizontal axis, which goes from value to growth).

A chart like [Figure 8.4](#) is used by almost every major investment firm in the United States. We talked in the last section about how value stocks outperform